

Element Bar

Feb 2026

Shark Tank (2009) | Early-Stage DTC
Food / CPG

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Element Bar Snapshot & Timeline

Feb 2026



2005

Jonathan starts crafting his own, all-natural, energy bars

\$0

(revenue in 000s)



Sep 2008

Jonathan Miller, Maria (wife's coworker), and friend cofound and launch Element Bar

\$0

(revenue in 000s)



Sep 2009

Jonathan represents Element Bar on Shark Tank

\$50

(revenue in 000s)

Dec 2009

End of fiscal year 1 for Element Bar, believably on pace for \$100,000 in revenue

exp \$100

(revenue in 000s)



Dec 2010

Projected earnings at end of fiscal year 2 are \$500,000 (Exhibit 3)

exp \$500

(revenue in 000s)

Original Ask and Implied Valuation

MONTH YEAR

Ask:

\$150,000 for 15% equity

Valuation:

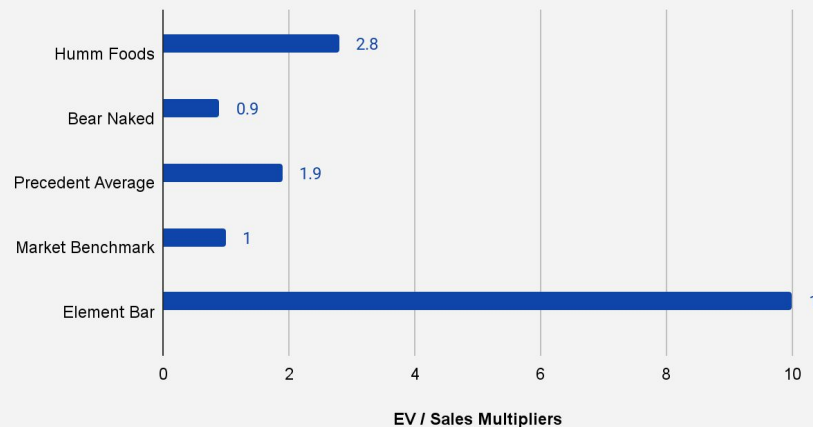
$\$150\text{k} / 0.15 = \$1,000,000$

Sales Multiple:

10.0x MCap / Sales

Comparable MCap / Sales Multiple

MCap / Sales Multiples Comparison (2009)



*Priced way too high

Founder Rationale

vs

Investor Rebuttal

Jonathan's Logic

- Large headline market (**\$1B+ nutrition bars**) and growing faster than the general food market (Exhibit 2)
- **Customization = differentiation** (he's *lived* the problem)
- Online DTC = **margin upside**
- Proof-of-concept traction (**\$50,000 in sales** at time of Shark Tank)
- Anchoring to **large exits** (Bear Naked, Humm) each ~\$60m
- **Previous founder success:** GetCheapBooks.com, Inc. and True Yardage = (over)confidence in his valuation

Investor Logic

- **Early stage food CPG = high failure rate**
- **Targeted market is niche**
 - Organic foods: 5% of market, multipack buyers: 35% of market, willing to buy online: 55% of market
- **No defensible moat**
 - Shark's ask "**why do we need [Jonathan]?**"
 - **Know-how is learnable**
 - Jonathan has **no food/CPG operating depth**
- \$50,000 in sales = machines work and you've sold some bars, not defensible proof of concept
- **Bear Naked** and **Humm** proved **10's of millions** in recurring revenue before earning a \$60m valuation

Final Deal Terms and Revised Valuation

MONTH YEAR

	Initial Deal	Final Deal
Ownership	15%	<u>30%</u>
Investment Amount	150K	150K
Valuation	\$1M	<u>\$500K</u>
PSR(2009)	10.0x	5.0x
PSR(2010E)	2.0x	1.0x
Others	N/a	4% royalty of total sales

4% Founder Royalty

- 4% royalty paid to the founder based on top-line revenue
- Provides near-term cash flow despite lack of profitability
- Reduces founder downside without increasing equity dilution
- Shifts part of founder value from equity upside to cash-based compensation
- Improves execution incentives at an early, high-risk stage

Comparable Transactions and Market Benchmarks

MONTH YEAR

Company performance

\$1m valuation deal:

2009A (\$100k sales)

➡ MCap / Sales: 10.0x

2010E (\$500k sales)

➡ MCap / Forward Sales: 2.0x

\$500k valuation deal:

2009A (\$100k sales)

➡ MCap / Sales: 5.0x

2010E (\$500k sales)

➡ MCap / Forward Sales: 1.0x

Precedent transactions

Humm Foods: 2.8x EV / Sales

Bear Naked: 0.9x EV / Sales

Precedent average: 1.9x EV / Sales

Valuation assumption:

Peers are assumed to trade at a premium, reflecting greater scale and proven concepts

Discount to peers supports ~1.0x EV / NTM Sales for Element Bar

Market benchmark (Food / CPG Series A)

Typical range:

1.0x – 3.0x ≈ MCap / Sales

Early / low-growth brands:

1.0x ≈ MCap / Sales

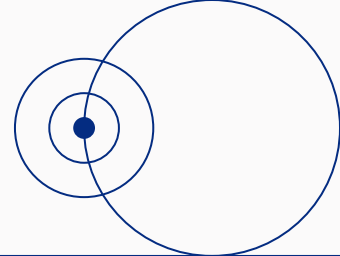
Strong traction & distribution:

2.0–3.0x ≈ MCap / Sales

Valuation assumption:

Element Bar is an early-stage brand with high uncertainty, supporting valuation at the lower end of the range (~1.0x MCap / Sales)

Market Sizing and Backwards Valuation



Total Addressable Market:
– Entire Nutrition Bar
Market in 2009

TAM
\$1,060m

Target niche filters:
– Organic products: 5%
– Multipack buyers: 35%
– Willing to buy online: 55%

SAM
\$9.2m

Upside scenario
(5-year horizon):
– 30% market share of
niche segment

SOM
\$2.9m

Backwards Valuation

Exit assumptions (Year 5)

Revenue:	\$2.9m
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Comparable multiple:	1.9x
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Implied exit value (MCap):	\$5.4m
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Return requirements

Target IRR:	50%
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Implied present value

PV (2009):	\$0.7m
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Final Judgement

Was the \$1.0m Valuation Too High?

Yes – overly aggressive

Implies **10.0x MCap / 2009 sales**, which is above:

- Precedents transaction
- Market benchmark (Series A)
- Backward valuation

Not supported by:

- Limited scale (\$50k sales)
- Early-stage product validation
- Lack of defensible moat

View on the Final \$500k Agreement

More reasonable and better aligned with fundamentals

Implies 1.0x MCap / 2010E Sales, which is supported by:

- **Discounted precedents** (vs. Humm, Bear Naked)
 - Reflects smaller scale and less proven concept
- **Series A Food/CPG benchmarks:** 1.0x–3.0x
 - ~1.0x appropriate for early-stage companies
- Below the implied PV of \$0.7m from **backward valuation**

Key Investment Considerations

Key risks to monitor post-investment

Management

- Strong salesman, limited food/CPG operating depth

Product

- No defensible moat with low barriers to entry and an easily replicable process
- Minimal switching costs and crowded competitive landscape

Market

- Market tailwinds supportive but not guaranteed